

Bank of Leeds Investment Proposal

Thornbridge Brewery Growth Programme

Premium Lager Expansion & International Growth Strategy (2027–2032)

Prepared for: Bank of Leeds – Food, Drink & Manufacturing Investment Division

Investment Type: Growth Capital Facility

Borrower: [Thornbridge Brewery](#)

Executive Summary

This proposal recommends that Bank of Leeds provide a **£25 million growth and expansion facility** to Thornbridge Brewery to accelerate its position in the premium lager market while expanding exports and improving production efficiency.

Thornbridge is one of Britain's best-known independent breweries, producing approximately **9 million pints annually**, with its flagship Jaipur IPA accounting for around **40% of production**. The brewery has also demonstrated successful entry into premium lager through beers such as Czech Mates and has continued to expand its visitor business.

The strategy is to diversify revenue by making premium lagers a larger proportion of production without reducing Thornbridge's award-winning ale portfolio.

Investment Summary

Category	Investment
New lager brewery equipment	£8.5m
Packaging line	£4.0m
Cold storage expansion	£2.5m
Export programme	£3.0m
Marketing	£2.5m
Visitor centre expansion	£2.0m
Working capital	£2.5m

Total Investment

£25 million

Strategic Opportunity

Premium lager is one of the fastest-growing segments within craft brewing.

While Thornbridge built its reputation on IPA and cask beer, there is an opportunity to establish a permanent premium lager range using continental brewing methods with Yorkshire water and British ingredients.

Target markets:

- UK supermarkets
 - premium pubs
 - restaurants
 - export
 - direct-to-consumer
 - tourism
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Current Production

Current annual production

Approximately

9 million pints

Current mix (illustrative)

Style	Share
IPA	40%
Pale Ale	20%
Cask	15%
Seasonal	15%
Lager	10%

The proposal increases lager production to approximately **30% of output** over five years while retaining the brewery's core identity.

New Product Portfolio

1. Yorkshire Premium Pilsner

ABV

4.8%

Positioning

Premium everyday lager

2. Peak District Helles

Traditional Bavarian-inspired lager.

3. Sheffield Export Lager

Designed for supermarkets and export.

4. Yorkshire Kellerbier

Unfiltered seasonal lager.

5. Heritage Dark Lager

Premium restaurant product.

6. Thornbridge Premium 0.5%

Alcohol-free lager.

One of the fastest-growing beer categories.

Production Expansion

Current

9 million pints

Five-year target

15 million pints annually

Increase

6 million additional pints

Approximately two-thirds of the increase would come from lager production.

Capital Equipment

Investment includes:

- 600-hectolitre fermentation vessels
 - automated filtration
 - lager maturation tanks
 - canning line
 - keg filling
 - cold warehouse
 - quality laboratory
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Revenue by Product

Premium Pilsner

Production

2 million pints

Wholesale revenue

£2.10/pint

Annual sales

£4.2 million

Helles Lager

1.2 million pints

Revenue

£2.30/pint

Sales

£2.8 million

Export Lager

1.5 million pints

Revenue

£2.00/pint

Sales

£3.0 million

Alcohol-Free Lager

750,000 pints

Revenue

£2.40/pint

Sales

£1.8 million

Seasonal Lager Range

550,000 pints

Revenue

£2.50/pint

Sales

£1.4 million

Total New Lager Revenue

£13.2 million annually

Production Cost Model

Indicative cost structure for premium packaged lager:

Cost Item	£ per Pint
Malt	£0.12
Hops	£0.05
Yeast	£0.02
Utilities	£0.08
Packaging	£0.30
Labour	£0.15
Distribution	£0.18
Overheads	£0.20

Total Production Cost

£1.10 per pint

Profit Margin by Volume

Premium Wholesale

Average selling price

£2.20

Production cost

£1.10

Gross profit

£1.10

Gross margin

50%

Keg Sales

Selling price

£2.45/pint equivalent

Production cost

£1.05

Gross profit

£1.40

Margin

57%

Taproom Sales

Average realised revenue

£5.80/pint

Direct serving costs

£1.40

Gross profit

£4.40

Gross margin

76%

Export Sales

Selling price

£2.35

Production cost

£1.25

Gross profit

£1.10

Margin

47%

Visitor Economy

The Riverside Brewery taproom has already welcomed more than **100,000 visitors**.

Expansion proposal:

- brewery museum
- brewing school
- guided tours
- tasting rooms
- premium restaurant
- conference venue

Investment

£2 million

Target

200,000 annual visitors.

Export Strategy

Priority markets:

- United States
- Canada
- Japan
- Scandinavia
- Netherlands

Target export increase:

From an illustrative **10% of sales** today to **25% of production** within five years.

Marketing Programme

Annual investment

£2.5 million

Focus:

- supermarket activation
 - sports sponsorship
 - premium hospitality
 - digital marketing
 - brewery tourism
 - international beer festivals
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Five-Year Financial Forecast

Year	Production	Revenue	EBITDA
2027	10m pints	£28m	£4.5m
2028	11.5m pints	£32m	£5.5m
2029	13m pints	£37m	£6.7m
2030	14m pints	£41m	£7.8m
2031	15m pints	£45m	£9.2m

These figures are illustrative financial projections for the investment case rather than Thornbridge's published forecasts.

Employment

Current workforce expansion:

Additional:

- brewers
- packaging operators
- engineers
- logistics
- sales
- export managers

Total new jobs

60–80

Bank of Leeds Facility

Recommended lending

Facility	Amount
Equipment finance	£12m
Property improvements	£5m
Working capital	£5m
Export finance	£3m

Total

£25 million

Expected Returns

Illustrative outcome after five years:

Metric	Value
Production	15 million pints
Annual revenue	£45m
EBITDA	£9.2m
New jobs	60–80
Export share	25%
Premium lager share	30%

Strategic Recommendation

Thornbridge already possesses three assets that many breweries spend decades trying to build:

- a nationally recognised premium brand,
- award-winning brewing expertise,
- a loyal customer base.

A £25 million growth programme would allow the business to expand into premium lager at scale while preserving its reputation for quality ales. Rather than competing on price with multinational brewers, the strategy focuses on the higher-margin premium segment, export growth, brewery tourism and direct-to-consumer sales, creating a more diversified and resilient revenue base over the next five years.